

ENGAGEMENT QUALITY REVIEWS—EXTRACT FROM PROPOSED ISQM 1¹ ADDRESSING ENGAGEMENTS SUBJECT TO AN ENGAGEMENT QUALITY REVIEW

(Marked from October 16, 2018 IAASB Teleconference)

Requirements

Engagement Performance

[4340](#). [Renumbered based on ISQM 1 renumbering] In designing and implementing responses to address the quality risks identified by the firm relating to the engagement performance quality objectives, the firm shall include the following responses ~~that relate to engagement performance~~:

...

- (e) Establishing policies or procedures addressing engagement quality reviews ~~to be performed~~ in accordance with ISQM 2, ~~including requiring~~ and that require an engagement quality review for: (Ref: Para. ~~A100A99A102~~—~~A103AA109~~)
 - (i) Audits of financial statements of listed entities;
 - (ii) Audits of financial statements of entities that the firm determines are of significant public interest; and
 - (iii) Audits or other engagements for which:
 - a. An engagement quality review is required by law or regulation; or
 - b. The firm determines that an engagement quality review is an appropriate response to assessed quality risks, ~~based on~~ considering the reasons for the assessments s given to the quality risks s.

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Application Material

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Engagement Performance

~~A99.~~ [Deleted former para. A99 – points are generally addressed in the context of an EQR in paragraphs A11 and A12 of proposed ISQM 2. Other paragraphs renumbered based on ISQM 1 renumbering.]

Engagements Subject to an Engagement Quality Review (Ref: Para. [4340](#)(e))

~~A99A102.~~ The categories of engagements for which an engagement quality review is required are not mutually exclusive. For example, many listed entities may be considered to be of significant public

¹ Proposed ISQM 1 ~~(Revised)~~, *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements*

interest based on the characteristics described in paragraph A103. Similarly, the firm may conclude that an engagement quality review for an entity determined to be of significant public interest is also an appropriate response to an assessed quality risk. In addition, law or regulation may require engagement quality reviews to be performed for certain types of entities (e.g., entities with public accountability as defined in certain jurisdictions), or may include different criteria or characteristics that firms may use in determining whether an entity is of significant public interest.

A1030.[Changed order of sentences] In determining whether an entity is of significant public interest, ~~matters taken the firm may take~~ into account ~~include~~, for example, the number and range of stakeholders and the nature and size of the business. The firm also may consider the relative significance of factors such as these in the context of the jurisdiction or region in which the entity operates. Entities that the firm ~~may determines~~ to be of significant public interest may include entities such as financial institutions (e.g. certain banks, insurance companies, and pension funds), and other entities such as certain ~~charities not-for-profit organizations~~. ~~In determining whether an entity is of significant public interest, matters taken into account include, for example, the number and range of stakeholders and the nature and size of the business. The firm also may consider the relative significance of factors such as these in the context of the jurisdiction or region in which the entity operates.~~

A1040A. Law or regulation may require an engagement quality review to be performed, for example, for audit engagements for entities that:

- Are characterized ~~in law or regulation~~ as public interest entities;
- Operate in the public sector or which are recipients of government funding;
- Operate in certain industries (e.g., financial institutions such as banks, insurance companies and pension funds);
- Meet an asset threshold determined by law or regulation; or
- Are under the management of a court or judicial process (e.g., liquidation).

A1051. ~~Examples of a~~ Audits or other engagements for which the firm may determine that an engagement quality review is an appropriate response to assessed quality risks include, for example, these engagements:

- That involve a high level of complexity or judgment, ~~for examplesuch as:~~
 - o ~~An Audits audit~~ of financial statements for ~~an entities entity~~ operating in ~~an industries industry~~ that typically has ~~involve making~~ accounting estimates with a high degree of estimation uncertainty (e.g., certain large financial institutions ~~or mining entities, extractive industries~~), or for which uncertainties exist related to events or conditions ~~exist~~ that may cast significant doubt on the entity's ability to continue as a going concern.
 - o An assurance engagement that involves ~~significant judgment difficulty~~ by the practitioner in measuring or evaluating the underlying subject matter ~~against the applicable criteria~~ (e.g., a greenhouse gas statement in which there are significant uncertainties associated with the quantities reported therein).
- Where ~~previous~~ issues have been encountered on the engagement, for example, audit engagements with a history of identified misstatements or deficiencies in internal control, recurring

internal or external inspection findings, or a material restatement of comparative information in the financial statements.

- For entities in emerging industries or that involve emerging technologies, or for which the firm has no previous experience.
- For which unusual circumstances are identified during the firm's acceptance and continuance of client relationships and specific engagements (e.g., a new client that had a disagreement with its previous auditor or assurance practitioner).
- For which assurance is provided That involve reporting on financial or non-financial information that is expected to be included in a regulatory filing, or that may involve a higher degree of risk judgment, such as pro forma financial information to be included in a prospectus.
- Engagements with negative findings arising identified through from the firm's monitoring activities or external inspections of its system of quality management (e.g., audit engagements in a particular industry for which issues were identified, or engagements for entities that have been the subject for which concerns were expressed in of communications from a securities or prudential regulator(s).

~~A102.~~ [Former para. A102 moved to paragraph A96 of proposed ISQM 1 – see Agenda Item 2–A] The firm's response to a quality risk may include forms of engagement reviews that are not engagement quality reviews, for example, for an audit engagement, reviews of the audit engagement team's procedures on significant risks or reviews of certain matters by individuals within the firm who have specialized technical expertise. In some cases, these other types of engagement reviews may be undertaken in addition to an engagement quality review to appropriately address the quality risks.

~~A1062A.~~ In some cases, there may be no engagements for which an engagement quality review is required to be performed, or for which the firm would determine that an engagement quality review would be is an appropriate response to a quality risk, which may be the case (e.g., when a firm does not performs audits of listed entities or entities of significant public interest and other responses to assessed quality risks are determined by the firm to be appropriate) only related services engagements.

Considerations Specific to Public Sector Audit Organizations

~~A1073.~~ Public sector entities may be of significant public interest due to the range of their stakeholders and the nature of the services they provide. Factors to consider in determining whether a public sector entity is of significant public interest may include the nature of the entity and the financial information that is the subject of the engagement (e.g., whether the entity is a national, regional or local government, or whether an opinion is being expressed on the entire entity or only certain units).

~~A108.~~ Other factors to consider may include whether the entity is a corporation that is state owned or in which the state has a controlling stake or a stake with significant influence. Larger public sector entities may be determined to be of significant public interest due to their social or economic influence on the community or region in which the entity operates.

~~A1093A.~~ The firm may determine that an engagement quality review is an appropriate response to a quality risk for engagements in the public sector for which law or regulation establishes additional reporting requirements. For example, in some jurisdictions the auditor may be required to provide a comprehensive assessment of compliance with law, regulation or other authority, and prevention and detection of fraud and corruption (e.g., a separate report on instances of non-compliance with law or

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regulation to the legislature or other governing body or communicating such instances in the auditor's report on the financial statements).